
SWEDEN 2002

1. Overview of the system

Sweden has an unemployment insurance consisting of a basic assistance scheme and a voluntary income related scheme for those who are members of an Unemployment Insurance Society. These are closely linked to the trade unions. It is possible to join an Insurance Society without being a member of the trade union or employers organisation at a slightly higher fee for extra administration. There is also a special Unemployment Insurance Society for those who do not want to be members of a trade union. Self-employed can also be insured. The basic assistance is for those who are not members of an Unemployment Insurance Society or do not fulfil the employment criteria but have finished full time studies.

Those with low income from work, unemployment benefit or any other kind of social security transfer income can claim an income tested housing benefit. This benefit is intended for a family when there are dependent children but is also open for low-income households beneath the age of 29. For those with neither income nor assets, social assistance can be claimed as the last resort.

The tax unit is the individual, spouses are taxed separately. The 2002 AW earnings level is SEK 286 566.

2. Unemployment insurance

2.1 *Conditions for receipt*

Income related unemployment insurance is voluntary and presupposes membership of an Unemployment Insurance Society. The recipient must be fit for work and available to work at least 3 hours per day and at least 17 hours per week.

2.1.1 *Employment conditions*

A recipient must have worked at least 6 months (with at least 70 hours per month) or 450 hours during a continuous period of 6 months (with at least 45 hours each month). In both cases, if necessary, two months can be replaced by time with parental leave or compulsory military service.

2.1.2 *Contribution conditions*

An employee or a self-employed person must have been a member of an Unemployment Insurance Society for the last 12 months. The trade union members pay a fee to the Unemployment Insurance Society through the monthly collection of union fees but there is also a possibility to pay directly to one of the 37 occupational Unemployment Insurance Societies or to a special 38th Society, which is not related to any trade union or employers organisation.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Gross replacement rate is 80 per cent of previous earnings. The maximum daily benefit from 1st July 2002 is SEK 730 for the first 100 days with benefit and maximum SEK 680 during the rest of the period (yearly equivalent SEK 181 800*). The minimum daily benefit was raised to SEK 320 from 1st July 2002.

* The calculation is based on SEK 730 the first 100 days and SEK 680 during 160 days in spite of that the maximum SEK 730 was not in force until the middle of the year.

2.2.2 Income and earnings disregards

The benefit is reduced in proportion of the number of days worked. Family and housing benefits can be paid in addition. There are no special family benefits. They are part of the housing benefit system.

2.3 Tax treatment of benefit

It is taxable.

2.4 Benefit duration

Payable on a 5-day week basis, for a maximum of 300 days or 60 weeks, after a 5-day waiting period. The days must not be consecutive. A recipient who has reached this maximum benefit duration can qualify for a further period after meeting the employment conditions in 2.1.1. If the recipient does not qualify for a new period of benefit there should be an offer to take part in a labour market program (activity guarantee). In some cases the period of unemployment benefit is prolonged with additional 300 days.

2.5 Treatment of particular groups

2.5.1 Young persons

None.

2.5.2 Older workers

None.

3. Unemployment assistance

The basic unemployment insurance can be called assistance. It is aimed mainly at those not insured, who meet the employment conditions or have just finished their full-time studies (student condition). It is available from the age of 20.

3.1 Conditions for receipt

The applicant must be fit for work and must be able to take a suitable job for at least 3 hours per day and an average of 17 hours per week.

3.1.1 *Employment conditions*

The same as the income related insurance. The same insurance from 1998.

3.1.2 *Contribution conditions*

None.

3.2 ***Calculation of benefit amount***

3.2.1 *Calculation of gross benefit*

It is a daily flat rate of SEK 320 (yearly equivalent of SEK 83 200*) after full time work or studies. Proportionally lower after part time work.

* The calculation is based on SEK 320 in spite of that the minimum SEK 320 was not in force until the middle of the year.

3.2.2 *Income and earnings disregards*

The benefit is not paid for days worked. Benefit days must not be consecutive. Housing benefits can be paid in addition.

3.3 ***Tax treatment of benefit***

It is taxable.

3.4 ***Benefit duration***

It is payable on a 5-day week basis, for a maximum of 300 days. There is a 5-day waiting period when based on employment condition, 90 days when based on student condition.

3.5 ***Treatment of particular groups***

3.5.1 *Young persons*

Not available for persons aged 18-19.

3.5.2 *Older workers*

None.

4. Social assistance

The cash social assistance programme is the Social Welfare Allowance, which is municipally administered.

4.1 *Conditions for receipt*

It is an income and assets-tested benefit, based on the obligation to exhaust all other means of support, and to be actively seeking employment. Social assistance is, according to the legislation, a right to a certain standard of living if no other means of income can be obtained; topping-up net incomes that fall below this standard is usually not possible.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

The National Board of Health and Welfare (NBHW) is responsible for a national guideline norm for social assistance. The norm is calculated annually and has an individual part that depends on the age of the child and a household part that depends on the size of the household. For 2002 the norm is as shown in the table below. For children below the age of 7 not attending day care institutions the rate is slightly higher. (rate changed for below 7 since OECD is planning to include child-care costs in disposable income definition. Most children do attend day-care).

Family type	Rates at NBHW norms (SEK per month)	Household rate based on number of family members	
Single	2 520	1 person	620
		2 people	710
Married couple / Cohabitants	4 570	3 people	810
Child <1 year	1 220	4 people	870
1-2 years	1 470	5 people	970
3 years	1 140	6 people	1 030
4-6 years	1 410	7 people	1 090
7-10 years	1 770		
11-14 years	2 050		
15-18 years	2 320		

In addition, social assistance recipients receive a supplementary element that covers any reasonable housing costs, after housing benefit from the state system has been received. Social workers may add extra payments for special purposes like medical or dental expenses, furniture/insurance and child-care costs. Usually there are an addition for local transportation expenses and union dues.

4.2.2 *Income and earnings disregards*

Maximum assistance benefit is reduced with 100 per cent of net income. Net income is defined as earned and taxable social security income after income tax and social security contribution and including housing benefit, family allowance and maintenance advance that are not taxed.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

Indefinite, as long as the conditions for receipt are met.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

No specific minimum age.

4.5.2 *Older workers*

None.

5. *Housing benefits*

5.1 *Conditions for receipt*

Housing assistance exists in three main forms:

- The income-tested housing allowance, it varies according to age, the income, the housing cost, and the number of children.
- Rent is fully covered for social assistance claimants, as a supplement to the housing allowance.
- An income-tested housing supplement (BTP) exists for pensioners (outside the scope of this study).

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

Total housing costs are divided in brackets; 50 to 75 per cent per bracket is added to a flat benefit. The size of each bracket and the flat benefit rate depend on age and family situation (see table). The benefit is calculated on a monthly basis according to the expected income during the calendar year but the benefit received during a year is provisional and will be checked against the final income assessment. Capital income is also considered.

Family composition	Housing costs (HC) (SEK per year)	Housing benefit (HB1) (before income-test)
Age < 29,	0 – 21 600	0
with no child	21 600 – 31 200	75% of (HC – 21 600)
	31 200 – 43 200	75% of (31 200 – 21 600) + 50% (HC – 31 200)
	43 200 +	75% of (31 200 – 21 600) + 50% (43 200 – 31 200)
Families:		
with 1 child	0 – 24 000	7 200
	24 000 – 36 000	7 200 + 75% of (HC – 24 000)
	36 000 – 63 600	7 200 + 75% of (36 000 – 24 000) + 50% of (HC – 36 000)
	63 600 +	7 200 + 75% of (36 000 – 24 000) + 50% of (63 600 – 36 000)
with 2 children	0 – 24 000	10 800
	24 000 – 39 600	10 800 + 75% of (HC – 24 000)
	39 600 – 70 800	10 800 + 75% of (39 600 – 24 000) + 50% (HC – 39 600)
	70 800 +	10 800 + 75% of (39 600 – 24 000) + 50% (70 800 – 39 600)
with 3 children	0 – 24 000	14 400
	24 000 – 43 200	14 400 + 75% of (HC – 24 000)
	43 200 – 79 200	14 400 + 75% of (43 200 – 24 000) + 50% of (HC – 43 200)
	79 200 +	14 400 + 75% of (43 200 – 24 000) + 50% of (79 200 – 43 200)

5.2.2 Income and earnings disregards

The housing benefit is income-tested. Reduction rates and disregards depend on age and family situation:

Family composition	Gross income limit for the means-test	Subsidy rate for the means-test (%)	Housing benefit, including the income-test (GI = gross income)
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(SEK per year)			
Single < 29, with no children	41 000	33	HB1 – 33% (GI – 41 000)
Lone parents	117 000	20	HB1 – 20% (GI – 117 000)
Families <29 with no children	58 000	33	HB1 – 33% (GI – 58 000)
Families with 1 or more children	58 500/partner*	20	HB1 – 20% (GI – 58 500)

* The partner with no income is not entitled to any housing benefit since 1995.

5.3 *Tax treatment of benefit*

It is not taxable.

5.4 *Treatment of particular groups*

None.

6. **Family benefits**

6.1 *Conditions for receipt*

Each child aged 16 or under (or until 20 if still at school) qualifies the family for child benefit.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

The annual amount is SEK 11 400 per child (SEK 950 per month), with a supplement of SEK 3 048 for the third child, SEK 9 120 for the fourth child, and SEK 11 400 for the fifth and each subsequent child.

6.2.2 *Income and earnings disregards*

Child benefit is not subject to any means test.

6.3 *Tax treatment of benefit*

It is not taxable.

7. **Child-care benefits**

Child-care is heavily subsidised by state and local governments. Parents used to pay a certain share in child-care fees varying by municipality. A simple description of the fee for 2001 and earlier is not possible.

From 2002 the fee is much more easy to describe. For the first pre-school child the fee is 3 per cent of the gross income (defined in a special way), for the second child the fee is 2 per cent and 1 per cent for the third child. There is a monthly cap of SEK 1 140, 760 and 380 for the 1st, 2nd and 3rd child respectively. With a yearly household income above SEK 456 000 there is no marginal effect and no extra fee. For school-children the percentages are 2, 1 and 1 respectively. The order of the child is according to the need of day-care – mostly the youngest are number one.

The difference between the 2002 fee and the former ones in each municipality is subsidised by state grants. There is also a guarantee of at least 3 hours of day-care for children with parents on Unemployment Insurance or parents on maternity leave.

8. Employment-conditional benefits

None.

9. Lone-parent benefits

9.1 Conditions of receipt

Each child aged 16 or under (or until 20 if still at school) from a lone-parent family qualifies.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The monthly amount is SEK 1 173 per child, that is SEK 14 076 yearly.

This is a separate benefit the absent parent is supposed to pay. If the parent pays directly to the lone parent, then the state is not involved. If not, the state advances the money and then demand the absent parent to pay it in full or in part. This system of repayment has been enforced and more responsibility is put on absent parents to pay a larger share of the cost.

9.2.2 Income and earnings disregards

Not subject to any means test.

9.3 Tax treatment of benefit

Not taxable.

10. Tax system

There is a central government and a local government personal income tax, based on the same taxable income.

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and credits*

The tax allowances are as follows:

- Social security: an allowance of 75 per cent of the social security contribution paid by the employee (and by the unemployed on the unemployment benefits) is granted. This allowance is calculated as total social security contributions minus the tax credit on those contributions (see below).
- Earned income allowances. These are related to the Base Allowance (BA is 37 900 in 2002):
 - If gross earnings are under 1.86 times BA, the allowance is 29.3 per cent of BA.
 - If gross earnings are between 1.86 and 2.89 times BA, the allowance is 29.3 per cent of BA raised with 25 per cent of earnings above 1.86 times BA.
 - If gross earnings are between 2.89 and 3.04 times BA, the allowance has its maximum value of 55.05 per cent of BA.
 - If gross earnings are between 3.04 and 5.615 times BA, the maximum value 55.05 per cent of BA is decreased with 10 per cent of the earnings above 3.04 times BA.
 - If gross earnings exceed 5.615 times BA, the allowance is 29.3 per cent of BA.

The allowance is rounded up to a multiple of 100.

(Note: this allowance is also valid on transfer income, but not social assistance.)

There is a tax credit of SEK 1 320 for everyone with a taxable income. The discount is reduced with 1.2 per cent of taxable income above SEK 135 000 and is completely reduced at a taxable income of SEK 245 000. This is a refundable tax credit as far as its amount is less than local taxes.

75 per cent of the social security contribution (truncated to the nearest lower multiple of 100) is returned through a tax credit. This is a refundable tax credit.

10.1.2 *The definition of taxable income*

It is the gross earnings minus the two above tax allowances, rounded down to the nearest multiple of 100.

10.1.3 *The 2002 tax schedule*

The income tax schedule is as follows:

Taxable income in SEK	Tax payable
0 – 273 000	SEK 0
273 800 – 414 200	SEK 0 + 20%
Over 414 200	SEK 28 080 + 25%

The local government personal income tax is proportional and differs between municipalities. The average rate amounted to 30.52 per cent in 2002, with the maximum and minimum rates being

33.30 per cent and 27.50 per cent, respectively. Beside the proportional tax every individual also has to pay a lump sum tax of SEK 200.

(In this study we apply the average tax rate)

There is no earnings limit.

10.2 *Treatment of family income*

The tax unit is the individual. Spouses are taxed separately

10.3 *Social security contribution schedule*

7 per cent of earnings (and unemployment benefits) for the general pension.

Contributions are paid up to 8.07 of the entitlement base amount ($8.07 \times 38\,700$), and rounded to the nearest multiple of 100.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Persons working less than 17 hours per week do not qualify for unemployment insurance.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. *Policy developments*

12.1 *Policy changes introduced in the last year*

- Unemployment insurance maximum was raised to SEK 730 for 100 days (then SEK 680) and minimum was raised to SEK 320 from 1st July 2002.
- The social assistance norm was adapted to price differentials.
- From 2000 a part of the general pension fee can be deducted from the income tax. This part was raised to 75 per cent in 2002.
- The day-care fee for the first child will be expressed as a 3 per cent cost per child up to a maximum of SEK 1 140. For second and third child the fee will be lower. This will reduce marginal effects and lower the cost for many families and was introduced in 2002.
- The minimum parental allowance for parents with very low income increased from SEK 60 to SEK 120 in 2002.
- From 2002 there is a tax deduction of 25 per cent of the trade union fee and 40 per cent of the Unemployment Insurance fee.

12.2 *Policy changes announced*

- The state tax brackets will be raised with inflation plus 2 per cent and some additional to reduce the number of persons paying state tax.
- The minimum parental allowance for parents with very low income will increase from SEK 120 to SEK 150 in 2003.
- The tax allowance will increase in 2003 and taxes on energy will increase as part of a switch from direct to indirect 'green' taxes.
- The tax credit of SEK 1 320 for everyone with a taxable income will cease and be integrated with the higher tax allowance.
